

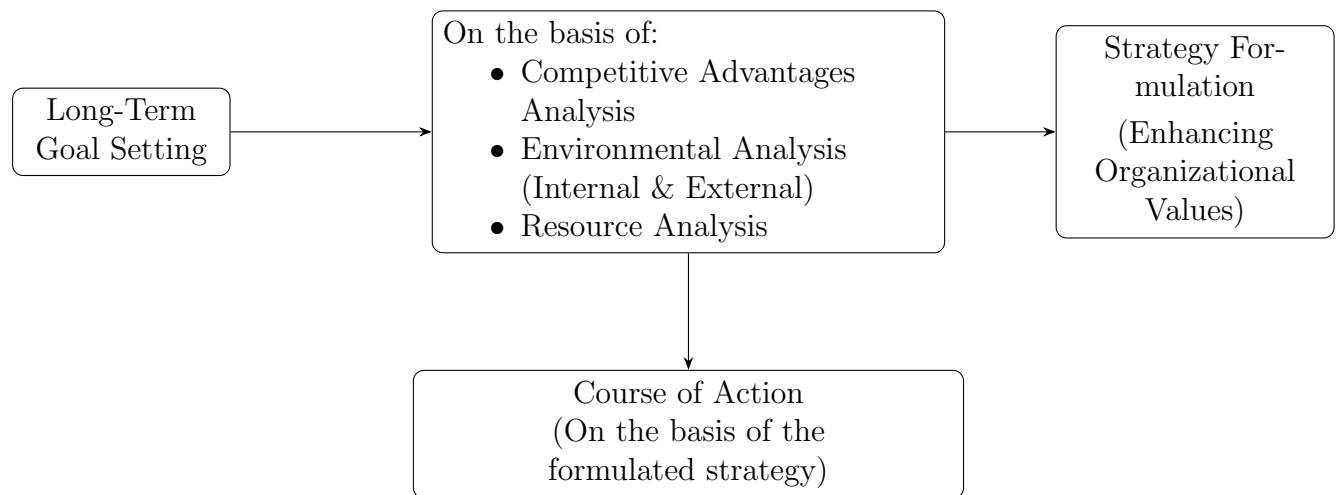
Strategic Management Notes

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Basic Concept of Strategic Management

Strategic Management is the process of setting long-term goals and formulating strategies based on an organization's internal and external environment.



SWOT Analysis

SWOT Analysis is a strategic planning technique used to evaluate the internal and external environment of an organization.

- S – Strength
- W – Weakness
- O – Opportunity
- T – Threat

SWOT Matrix

	Strength (S)	Weakness (W)
Opportunity (O)	SO	WO
Threat (T)	ST	TW

TOWS Matrix

The TOWS matrix begins with external factors and then relates them to internal factors.

	Opportunity (O)	Threat (T)
Strength (S)	SO	ST
Weakness (W)	WO	WT

Meaning of SWOT Components

Strength (S)

Internal factors that provide an organization with a competitive advantage.

Examples:

- Strong brand image
- Skilled employees
- Advanced technology
- Good financial position

Weakness (W)

Internal factors that reduce organizational performance.

Examples:

- Lack of skilled manpower
- Limited financial resources
- Poor management
- Outdated technology

Opportunity (O)

External factors that can help the organization grow.

Examples:

- New markets
- Government support
- Increasing customer demand
- Technological advancements

Threat (T)

External factors that may negatively affect the organization.

Examples:

- New competitors
- Economic recession
- Government regulations
- Changing customer preferences

Strategies Based on SWOT

- **SO Strategy:** Use strengths to exploit opportunities.
- **WO Strategy:** Reduce weaknesses by utilizing opportunities.
- **ST Strategy:** Use strengths to overcome external threats.
- **WT Strategy:** Minimize weaknesses and avoid threats.